

We work with the Fréchet log-likelihood:

$$\ell(A, \alpha) = T \log(A\alpha) - (1 + \alpha) \sum_{t=1}^T \log(Ax_t) - \sum_{t=1}^T (Ax_t)^{-\alpha}.$$

✓ 1. First-order derivatives

Derivative w.r.t. A

Using

$$\partial_A \log(A) = 1/A,$$

$$\partial_A (Ax)^{-\alpha} = -\alpha x (Ax)^{-\alpha-1},$$

$$\frac{\partial \ell}{\partial A} = \frac{T}{A} - (1 + \alpha) \frac{T}{A} + \alpha \sum_{t=1}^T x_t (Ax_t)^{-\alpha-1}$$

Simplify:

$$\frac{\partial \ell}{\partial A} = -\frac{\alpha T}{A} + \alpha \sum_{t=1}^T x_t (Ax_t)^{-\alpha-1}$$

Derivative w.r.t. α

Using

$$\partial_\alpha (Ax)^{-\alpha} = -(Ax)^{-\alpha} \log(Ax),$$

$$\frac{\partial \ell}{\partial \alpha} = \frac{T}{\alpha} - \sum_{t=1}^T \log(Ax_t) + \sum_{t=1}^T (Ax_t)^{-\alpha} \log(Ax_t)$$

✓ 2. Second-order derivatives

Second derivative w.r.t. A

$$\frac{\partial^2 \ell}{\partial A^2} = \frac{\alpha T}{A^2} - \alpha(\alpha + 1) \sum_{t=1}^T x_t^2 (Ax_t)^{-\alpha-2}$$

Second derivative w.r.t. α

$$\frac{\partial^2 \ell}{\partial \alpha^2} = -\frac{T}{\alpha^2} - \sum_{t=1}^T (Ax_t)^{-\alpha} [\log(Ax_t)]^2$$

Cross derivative

$$\frac{\partial^2 \ell}{\partial A \partial \alpha} = -\frac{T}{A} + \sum_{t=1}^T x_t (Ax_t)^{-\alpha-1} [1 - \alpha \log(Ax_t)]$$